Financial Inclusion

We would often discuss the issue of financial inclusion with chairmen and CEOs of commercial banks. These meetings were useful for understanding the major challenges in deepening financial inclusion and for reaching a shared understanding on the broad strategy forward. But these meetings lacked depth because all of us operating at the top management of our institutions did not have a full grasp of the problems at the front end. To fill this knowledge gap, we embarked on what came to be called a ‘front-line bank managers conference’.

The format was to get together about fifty people—a dozen front-line bank managers from branches in small towns and villages, banking correspondents, MFIs (microfinance institutions), NGOs and some low-income households—in an informal setting for a whole day to talk about financial inclusion. These meetings were an eye-opener on the many gaps between policy and its implementation at the field level: How long and how many visits does it take for a low-income household to get a bank loan? How difficult is it for them to meet all the documentation requirements for a loan? How much do they have to spend out of pocket to secure a loan? Are the poor treated courteously and kindly in the bank? These and other similar questions that came up in the front-line managers’ conference were pointers to what we from the Reserve Bank should be doing to take banking services to the poor.

One of the things that used to impress me, both during outreach visits and front-line managers’ meetings, was how confidently rural women would speak up, not at all overawed by the occasion or the unfamiliar setting. At an outreach visit to Chapro, a village in Himachal Pradesh, I recall one woman taking the mike in front of maybe 2000 people to tell me that her local bank had introduced a monthly recurring deposit scheme that would yield a lump sum at the end of the year. She said she was attracted by the scheme as the lump sum return on maturity would come in handy to pay the school fees of her children in June–July. But the problem was that the bank had a rigid calendar for the recurring deposit—it started in January and